



FPS Reimbursement Rules: Compliance Monitoring Regime

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1 Documentation Information

1.1 Version history

Version	Date	Description
4.0	29/05/2024	Document baselined for publication on 7th June
4.5	18/07/2024	Minor changes following final publication of PSR PS24/3 FPS APP scams reimbursement compliance and monitoring policy statement (July 2024)
5.0	26/09/2024	Removal of reference to maximum level of reimbursement value and minor changes to calculations of performance measures to align to the PSR CDRS
6.0	05/06/2026	Review of CMR objectives, performance measures and consequence management process

1.2 Document reviewers

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Action: P – Producer; C – Contributor; R – Reviewer; A – Authoriser; I – Information only

1.3 References

This document should be read in conjunction with the following documents:

DOCUMENT
<u>SPECIFIC REQUIREMENT 1 (JULY 2024) (FPS APP SCAM REIMBURSEMENT RULES)</u>
<u>SPECIFIC DIRECTION 19 (JULY 2024) (APP SCAMS FASTER PAYMENTS OPERATOR MONITORING)</u>
<u>SPECIFIC DIRECTION 20 (JULY 2024) (FPS APP SCAM REIMBURSEMENT REQUIREMENT)</u>
<u>COMPLIANCE DATA REPORTING STANDARD</u>
FPS REIMBURSEMENT RULES – SCHEDULE 4
APP FRAUD REIMBURSEMENT BEST PRACTICE GUIDE

1.4 Copyright statement

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2 Introduction to FPS APP Compliance Monitoring

Under section 72 of the Financial Services and Market Act (FSMA) 2023, the PSR introduced an APP reimbursement requirement for Authorised Push Payments (APP) scam payments made over the Faster Payments Scheme (FPS) by a Directed PSP, whether they are a Member of the Faster Payments Scheme or not.

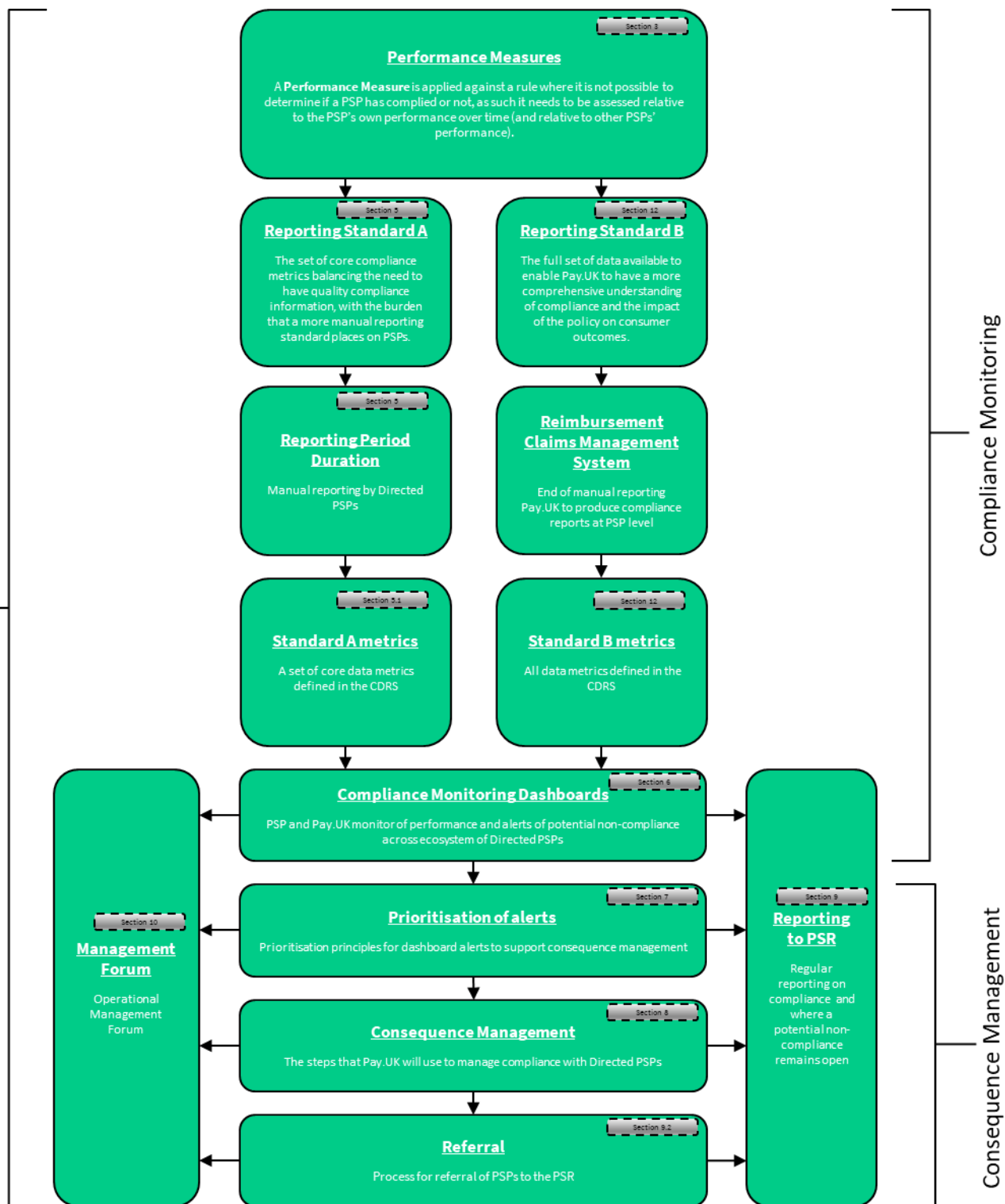
Under Specific Requirement 1 (July 2024) (FPS APP scam reimbursement rules), the PSR required the Faster Payments Operator to change the Faster Payment Scheme rules by 31 July 2024 to achieve the specified purpose of incorporating the reimbursement requirement and additional exceptions and provisions into these rules. The FPS reimbursement requirement applies to all Reimbursable FPS APP scam payments executed from 7 October 2024. From this date, Directed PSPs are mandated to follow these rules via Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) and to report compliance data as defined by the Faster Payments APP Scam Claims: Compliance Data Reporting Standard (July 2024) to Pay.UK. As the Payment System Operator, and in accordance with PSR Specific Direction 19 (July 2024) (APP scams Faster Payments Operator monitoring), Pay.UK must monitor and manage Directed PSPs' compliance with the FPS reimbursement rules.

This document, which should be read in conjunction with the documents listed in the reference section, sets out how Pay.UK will monitor and manage Directed PSPs' compliance, both for Direct and Indirect participants. This includes compliance monitoring, managing the consequences of non-compliance by Directed PSPs, and how Pay.UK will work with the Directed PSPs and the PSR to report on compliance. This document contains principles for how Pay.UK expects compliance monitoring to operate, rather than prescriptive and specific rules for how it must behave in all scenarios. It is not possible to anticipate all scenarios that may arise in the reimbursement regime, and some discretion and flexibility will be required. Pay.UK will maintain ongoing close engagement with the PSR on how it is operating the compliance monitoring element of the reimbursement regime. It is likely that compliance monitoring will need to change as more experience is gained in operating the regime, and any such change will involve the PSR and Directed PSPs as appropriate.

Pay.UK are responsible for monitoring compliance with the FPS reimbursement rules (as required by Specific Direction 19 (July 2024) (APP Scams Faster Payments Operator Monitoring) but will not be enforcing Directed PSPs' compliance against any PSR directions. Enforcing Directed PSP compliance against regulatory directions remains the responsibility of the PSR.

2.1 Overview of the compliance monitoring regime

The below diagram sets out an overview of the different elements of the compliance monitoring regime and how they relate to each other. It also serves as a guide to how this document is structured.



3 Key Performance Measures of Compliance

At the core of compliance monitoring are performance measures which are aligned to the PSR's Compliance Data Reporting Standards (CDRS). These Measures have been designed to monitor and assess the compliance and performance of a Directed PSP against the requirements in the FPS reimbursement rules. The key themes for performance measurement are set out in section 5.

3.1 A Performance Measure is applied against a rule to determine if a Directed PSP has complied or not. The measure is relative to the PSP's own performance over time and relative to other Directed PSPs' performance to look for indicators of potential non-compliance.

The performance measures are used as indicators of a Directed PSP's performance and whether the impact of that performance is significant to the safe and effective functioning of the FPS Reimbursement Rules and form the basis for Pay.UK's decision-making on whether a Directed PSP is potentially non-compliant with the FPS reimbursement rules.

4 Compliance Data Reporting Standards

This section should be read in conjunction with the PSR's Compliance Data Reporting Standards (CDRS). The CDRS sets out in regulation what data Directed PSPs are required to report to Pay.UK and places record-keeping requirements on all Directed PSPs.

From 7 October 2024, Directed PSPs which are Sending PSPs are required to report data to Pay.UK as the basis to monitor and manage compliance under Reporting Standard A; the contents of which are set out in the PSR's Specific Direction 20 and the PSR's Compliance Data Reporting Standards.

As is specified by the PSR, a Sending PSP must ensure for all the time that Reporting Standard A is in place that it collates and retains all information falling within the scope of Reporting Standard A. All Directed PSPs must retain decision-making records about individual FPS APP scam claims for at least five years, including the final decision and accompanying rationale for making that decision. Sending PSPs will report regularly to Pay.UK on a set of data which provides Pay.UK with oversight of a core set of compliance metrics.

The CDRS also defines Reporting Standard B. Reporting Standard B is the full set of compliance metrics which all Directed PSPs (Sending and Receiving) must collate and retain, when the PSR requires all Directed PSPs to report against it. Further details on Reporting Standard B can be found in section 12.

5 Reporting Standard A

All Directed Sending PSPs are required to report on a set of core compliance data metrics which are defined in the CDRS under Reporting Standard A. This means that each Sending PSP must submit data covering FPS APP scam transactions it has sent, and not those it has received. Reporting periods will run from the first to the last day of each calendar month and reports will be due on the last Business day of the month which follows the reporting period. Reports must be submitted to Pay.UK by each Directed Sending PSP on the reporting due date by no later than 17:00hrs.

As the cut-off day for each reporting period is the last calendar day of each month, each report must only cover all cases 'closed' in that reporting period. For the purposes of reporting under Reporting Standard A, a claim is considered 'closed' where the Consumer has been reimbursed or the Sending PSP has completed an assessment and determined that the claim did not include any reimbursable FPS APP scam payments, and the claim has been rejected. This means that all closed FPS APP scam claims up to and including the last day of the month must be included within that month's reporting. Any FPS APP scam claims that have been reported by a Consumer and are being assessed, but have not exceeded 35 Business days, must not be included in the data for that month; instead, these should be included within the next monthly reporting period.

All Directed Sending PSPs must report Standard A data to Pay.UK via the Reimbursement Claims Management System (RCMS) Core as specified by the FPS Reimbursement Rules. The RCMS Core has been designed to minimise the risks of reporting across all Directed PSPs, and it is vital that Pay.UK can clearly identify the Directed PSP and that what is reported cannot be repudiated. Using the RCMS Core as the means to report will ensure data integrity, accuracy, security, and privacy is maintained at all times. Directed Sending PSPs are expected to use the RCMS Core as the method of reporting Standard A data but Pay.UK may consider other means of reporting if reasonable in the circumstances. In considering what is reasonable, Pay.UK may take into account the fact that Directed PSPs are expected to use the RCMS Core unless it is unreasonable to do so, such as where it is not available. Each Sending PSP will be able to monitor their performance via their own compliance monitoring dashboard. Each dashboard will be updated based on the data reported by each Directed PSP after it has been processed by Pay.UK.

Failure of any Directed Sending PSP to report the Reporting Standard A data, as directed by SD20, via the means specified by Pay.UK in any reporting period is a serious matter as it may imply that the PSP is non-compliant and could detrimentally impact the overall reporting data. This may result in Pay.UK commencing consequence management with that Directed Sending PSP.

A Sending PSP must report to Pay.UK even when it has not received any FPS APP scam claims in-scope for reporting, in the relevant reporting period. This should be via the Reimbursement Claims Management System (RCMS) Core as specified by the FPS Reimbursement Rules. This is achieved by submitting a nil return using the Standard A reporting data with all data reporting entry fields set to zero.

5.1 Reporting Standard A metrics

Reporting Standard A data metrics gives Pay.UK oversight of the total volume and value of FPS APP scam claims that have been reported by consumers:

- a. that have, or have not, been reimbursed
- b. that have been closed within 5 Business days
- c. that took longer than 5 Business days to close the claim, up to a maximum of 35 Business days
- d. where the Receiving PSP was notified within the timeframe specified in the FPS reimbursement rules
- e. where the consumer was vulnerable and reimbursed
- f. where the Consumer Standard of Caution Exception was applied, and the consumer was not reimbursed
- g. where the Sending PSP confirms receipt of the Reimbursable Contribution Amount from the Receiving PSP(s) within the timeframe specified in the FPS reimbursement rules

5.2 Reporting Standard A measures of compliance

The Compliance Monitoring Regime will focus on PSP performance which impact the core APPR policy objectives, alongside two information sharing metrics (clause 5.3) which would not be inclusive of triggering consequence management but are for the purposes of gathering data intelligence regarding the ongoing operation of the policy, aligned to the FPS Reimbursement Rules.

Compliance monitoring will focus on the following measures:

1. Claim assessment – rate of reimbursement
2. Timescales
3. Exceptions

Where a Directed PSP reports data to Pay.UK which evidences a potential non-compliance, Pay.UK reserves the right to request more information from that Directed PSP, relative to the full set of FPS reimbursement rule outcomes and wider Reporting Standard A data, as per the steps of consequence management (section 8). As PSPs are expected to maintain records of claim assessment outcomes under SD20, additional provision of data should not be burdensome. A Directed PSP must respond to information requests from Pay.UK where Pay.UK has a reasonable belief that the reported data evidences a potential non-compliance, or that data indicates a reasonable likelihood of a future non-compliance.

5.3 Reporting Standard A information gathering metrics

Information on the metrics of the rate of Reimbursable Contribution Amounts received by the Sending PSP, and Consumer Vulnerability will be gathered, as reported, to identify trends. We would not normally expect these trends to be subject to consequence management actions. However, as PSPs are expected to record these data metrics and report data accurately, we do reserve the right to make these subject to consequence management where this may be justified, such as a failure to report this data.

Insights on these information gathering metrics may be shared with IMG at an aggregate level to indicate the overall performance of the regime.

5.4 Reimbursement Claims Management System (RCMS)

The RCMS Core will be used to support Directed PSPs to manage reimbursement in compliance with the FPS reimbursement rules. The RCMS Core provides a means for Sending PSPs to report Standard A data to Pay.UK and to access the FPS reimbursement directory to route FPS APP scam claims to the correct Receiving PSP. Directed PSPs will also be able to monitor their compliance performance via dashboards visible in the RCMS.

5.5 Reporting Standard A Data Assurance

Pay.UK will use its existing payment system assurance approaches as they apply to data that is provided to us for the purposes of ensuring compliance with the FPS reimbursement rules.

Reporting Standard A data metrics require that Pay.UK rely upon Directed PSPs administered controls and operating evidence to achieve its regulatory obligations. A Sending Directed PSP must ensure it can provide decision-making records about individual FPS APP scam claims, including the final decision and accompanying rationale for making that decision as the basis to demonstrate compliance with the FPS reimbursement rules from 7 October 2024.

A Sending Directed PSP must have in place appropriate internal controls over the data it reports to ensure data integrity and accuracy. This is because Pay.UK must rely on the data for the purposes of compliance monitoring. By submitting data via the RCMS Core, the Directed Sending PSP attests to the integrity and accuracy of the data, therefore creating an umbrella attestation to reduce the manual reporting burden.

Directed PSPs are required to respond to reasonable requests for information from Pay.UK as part of consequence management. Responses will be expected within 20 working days as a guideline but can be extended where the information request is complex or challenging. This represents a fair and proportionate period in which Directed PSPs must provide compliance data and information to Pay.UK and balances the need for Pay.UK to have timely access to data and information, whilst providing sufficient time for Directed PSPs to gather the necessary information and take it through their assurance and governance processes.

5.5.1 Limiting data usage

The RCMS Core + Claims will hold data and information from Directed PSPs for the purposes of claim assessment and management. Pay.UK will not have access to claim-level data or personal data that is stored in the RCMS. In line with the CDRS and Reporting Standards A and B, Pay.UK will not be collecting any claim-level or personal data.

When Directed PSPs respond to Pay.UK with further information as part of consequence management, they must not include claim-level data or personal Consumer data in their responses.

6 Compliance Monitoring dashboards and indicators of potential non-compliance

Each Directed PSP will be able to monitor their performance via their own compliance monitoring dashboard in the RCMS, which will use the data provided by that Directed PSP on the Reporting Standard A metrics set out in the CDRS. Each dashboard will be updated based on the data reported by each Directed PSP after it has been processed by Pay.UK.

All Directed PSP dashboards will be accessible only to Pay.UK and the PSR for the purposes of monitoring and managing compliance. Dashboards are key to the interaction between Directed PSPs and Pay.UK for the purposes of compliance monitoring and consequence management.

If the PSR decide to bring Reporting Standard B into effect following consultation, the dashboards will report on Directed PSP compliance across all reporting metrics set out in the CDRS.

6.1 Compliance Performance Measures

As explained in section 3, compliance is determined using performance measures, each with a threshold indicator that will be used to measure compliance performance. The threshold indicators of performance will enable Pay.UK to monitor performance equally to all Directed PSPs fairly and proportionately, and to compare the performance of one Directed PSP versus another.

There are three performance measures at the core of compliance monitoring:

- Claim assessment – rate of reimbursement
- Timescales
- Exceptions

Each measure of performance will be calculated as follows:

Claim assessment – rate of reimbursement

Percentage volume of in-scope claims NOT reimbursed:

$$\text{Volume of claims not reimbursed} \div \text{volume of in scope claims} \times 100$$

Percentage value of in-scope claims NOT reimbursed. Calculated as:

$$\text{Value of claims not reimbursed} \div \text{value of in scope claims} \times 100$$

Timescales

Percentage volume of in-scope claims NOT closed within 35 Business Days. Calculated as:

$$\begin{aligned} & \text{Volume of claims in scope} - \text{claims closed in 35 BD} \\ & = \text{volume of claims not closed in 35 BD} \\ & \div \text{volume of claims in scope} \times 100 \end{aligned}$$

Exceptions

Percentage volume of in-scope claims NOT reimbursed for CSOC. Calculated as:

$$\text{Volume of claims rejected under CSOC} \div \text{volume of in scope claims} \times 100$$

All calculations place a reliance that Directed PSPs report in compliance with the FPS Reimbursement Rules. Specifically, rule 3.10 is the first step in validating whether a reported payment meets the definitions of an FPS APP scam payment and must therefore be reported as in-scope for assessment. An FPS APP scam payment means a payment order authorised by a Victim as part of an APP scam, which must have all the following features:

1. It is authorised by a Victim who is (i) a customer of and holds a Relevant account with the Sending PSP and (ii) holds that Relevant account as a Consumer;
2. It is executed by the Sending PSP from a Relevant account located in the UK
3. The result funds transfer is settled through FPS;
4. The payment is received in a Relevant account under the control of a Receiving PSP in the UK that is not controlled by the Consumer;
5. The payment is executed to the Relevant account identified in the Consumer's payment order to the Sending PSP, but:
 - a. That payment is not to the recipient the Consumer intended to receive the payment, or
 - b. The payment is for a purpose other than that intended by the Consumer.

It is expected that a Directed PSP will be able to establish whether an FPS APP scam payment is in scope for assessment by evaluating features 1 – 4 above at the point the consumer reports the claim. It is accepted that feature 5 may be more difficult to ascertain and therefore the PSP may need to bring that payment into scope for assessment to determine whether it meets the full definition of an FPS APP scam payment.

To achieve compliance to rule 3.10, a Directed PSP must have evidential basis for accepting an FPS APP scam payment as in scope and the questions it may ask to determine this are as follows:

- Was the payment definitely not executed via Faster Payments?
- Was the payment definitely not authorised?
- Is the payment definitely not a scam?
- Was the payment definitely not initiated by a 'consumer'?
- Was the payment definitely not sent from an account in the UK to another account in the UK?
- Did the payment take place before 7 October 2024?
- Where there are multiple payments, did the latest payment take place more than 13 months from the date of the consumer's report?

6.2 Threshold indicators of compliance performance

Using only the performance measures in isolation is not specific or focused enough for effective compliance monitoring. For each of the measures, a threshold indicator of performance will be applied. These are the tolerances, defined in percentile ranges, for each of the three performance measures which will be used as indicators for identifying potential non-compliance. They are a way of prioritising activity to fact-find and research the reasons for changes in compliance performance.

This activity will consider the overall compliance performance of a Directed PSP. Pay.UK will not identify and examine specific instances of potential non-compliance for individual claims.

Compliance performance of any one Directed PSP may also be compared against its own past performance as well as its performance against other PSPs. The principle is that if the Directed PSP’s performance is observed to be worsening over time, or it is an adverse outlier against other similar Directed PSPs, this could be an indicator of potential non-compliance. When engaging with a Directed PSP, this will follow the prioritisation and Consequence Management steps set out in sections 7 and 8.

The table below sets out the thresholds that will trigger a potential non-compliance alert:

Measure of compliance	
Claim Assessment – Rate of Reimbursement	
% Volume not reimbursed	% Value not reimbursed
Timescales	
% Volume not closed in 35 BDs	
Exceptions	
% Volume not reimbursed for CSOC	

7 Prioritisation of potential non-compliance

Pay.UK will use the prioritisation principles outlined below to decide which Directed PSPs to engage with in the first instance, when investigating potential compliance issues.

These principles do not constitute a precise set of rules. It is important that Pay.UK has discretion in deciding how and when to apply these principles when investigating and managing potential compliance issues.

7.1 Principle 1: Pay.UK will prioritise the Directed PSPs whose potential non-compliances could generate the most harm to Consumers

The application of this principle will be based on determining a potential impact score, calculated when one or more threshold indicators for metrics 1 - 3 have been triggered:

$$\text{Potential impact score} = \text{PSP volume of in - scope claims} \times \text{PSP value of in - scope claims}$$

Higher potential impact scores will result in higher prioritisation.

7.2 Principle 2: Pay.UK will prioritise Directed PSPs that demonstrate low performance across a number of performance measures

Directed PSPs which demonstrate potential non-compliance across performance measures 1 - 3 will be prioritised over Directed PSPs demonstrating potential non-compliance over fewer performance measures.

Performance of PSPs will be made available to the PSR on a regular basis as part of the normal cadence of engagement between Pay.UK and the PSR. Insights may also be shared with the PSPs for awareness and education on compliance performance.

8 Consequence Management

This section sets out the consequence management steps that will be taken to manage potential non-compliance by Directed PSPs, once it has been determined through the prioritisation process that Pay.UK should commence consequence management with the Directed PSP. As explained in section 6, a potential non-compliance alert is triggered when the data reported by a PSP indicates that it has breached one or more of the performance measure thresholds.

Initial investigatory action is not part of consequence management.

8.1 Consequence Management Principles

As a principle, consequence management aims to support the PSP to identify, analyse and overcome non-compliance. These are the tolerances defined in percentile ranges for each of the three performance measures and will be used as indicators of potential non-compliance. They will be used as a way of prioritising activity to research and help identify the reasons for changes in compliance performance. This activity will consider the overall compliance performance of a Directed PSP. Pay.UK will not identify or examine specific instances of potential non-compliance for individual claims. This will be evidenced by improvement of its performance over subsequent reporting periods. Throughout consequence management Pay.UK will not consider individual FPS APP claim level data or assert judgement on whether a PSP has breached any obligations in relation to individual claims¹; the focus will always be on the overall performance of the Directed PSP and its capability and capacity dealing with FPS APP claims. Consequence management will focus on the quality and evidence of the controls, processes, and capabilities that the Directed PSP will have implement to comply with the FPS reimbursement rules aligned to PSR SD20.

Directed PSPs must not share any claim level data with Pay.UK. If claim level data is submitted, it will not be accepted or stored by Pay.UK.

8.2 Actions prior to Pay.UK commencing consequence management with a Directed PSP

Where the combination of a threshold trigger and the prioritisation principles indicate the need for Pay.UK to engage with the Directed PSP, the first step is to obtain an understanding of the causes of the potential non-compliance. this should be considered as research and fact-finding. Pay.UK will contact the Directed PSP to request information which will aim to understand the root cause as either:

1. Type A non-compliance: internal to the PSP, i.e. internal process failure
2. Type B non-compliance: external to the PSP, i.e. complex case

During this fact-finding stage, it may be prudent for Pay.UK to ask for the information provided to be elevated away from those performing the operational tasks. This will seek to avoid, as far as possible, any impact on operational teams and reduce the risk that these teams may choose to respond to Pay.UK with specific case data. Therefore, we may ask for information that has been

¹ It is envisaged that Consumers will be able to pursue their claims through the Financial Ombudsman Service if necessary.

assessed and verified by other internal assurance lines of defence with the Directed PSP. Or, perhaps for example, to ask for evidence of what independent analysis and reporting has been performed.

Where trends continue, we will seek further explanation that the FPS APP Reimbursement Rules are being properly applied and to understand the approach taken by the Directed PSP. Where necessary, if the information does not build confidence that the Directed PSP can evidence the reasons for its compliance performance, and if context such as ongoing reporting data continues to impact performance indicators, the Directed PSP will move into the first step of consequence management.

8.3 Actions once Pay.UK commences consequence management with a Directed PSP

If, following the initial investigation of the potential non-compliance and action taken by the PSP, a PSPs performance continues to show poor performance and potential non-compliance, then that PSP may move into consequence management. The following sets out the steps of consequence management which are the actions that Directed PSPs and Pay.UK will take and the decisions required. Full records will be retained by Pay.UK of all communication to evidence the steps taken. These steps are expected to take place in sequence and are the principles of what is expected to happen under each step, rather than a precise or prescriptive rule for what must happen. It will be important to maintain some degree of flexibility as it is not possible to anticipate all possible scenarios.

Step	Description	Directed PSP input (data/action) required	Pay.UK action
1	Directed PSP identifies and implements mitigation action plan. This could be submitted through the RCMS or through other means, to be agreed with the Directed PSP.	Details of the actions that are proposed, the expected timing to complete, and how this is expected to result in improved performance. Noting that external dependencies, such as a large number of complex claims, should be set out if they will challenge closure of the issue by the Directed PSP.	Review the Directed PSP's proposals to check that they are credible and likely to result in the Directed PSP improving its performance in a reasonable timeframe. If this is not the case, Pay.UK will communicate why it does not think so, and there will be a process of engagement to support the Directed PSP to refine the action plan. This may include requesting further evidence from the PSPs second line of defence. If Pay.UK and the Directed PSP cannot agree on a plan, Pay.UK reserves the right to refer to the PSR for its review and potential

			investigation. This scenario is expected to be rare.
2	Observe whether the Directed PSP's performance is improving over time.	Implement action plan over the agreed timescale and continue providing Standard A or Standard B data to Pay.UK.	Pay.UK will monitor the Directed PSP's performance indicators to look for evidence of improvement over the timescale envisaged in the action plan. If improvement is observed, the Directed PSP will fall out of the consequence management procedure. The level of improvement needed will be case-by-case but will have regard to the specific circumstances of the Directed PSP and the thresholds for identifying potential non-compliance. If improvement is not observed, Pay.UK would notify the Directed PSP in the first instance and seek further explanation. Following this, Pay.UK will produce a summary of the potential non-compliance and engagement with the Directed PSP to date. This will be provided to both the Directed PSP and the PSR. Pay.UK will continue to monitor the performance indicators of the Directed PSP as usual.
3	Actions agreed from prior step have failed. Escalate to Customer CEO (or other suitably senior executive in a large organisation)	CEO or Senior Executive engagement and briefing	Communication via letter on Pay.UK -headed paper. Reference the outputs of prior consequence stages as appropriate and formally request a response. Further notification to PSR – "Pay.UK are concerned and are escalating". Participant can "challenge" this step through discussions with the

			Pay.UK CEO. This scenario is expected to be rare.
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8.4 Ongoing prioritisation and flexibility within the consequence management steps

At each step, if necessary, Pay.UK will have regard to the prioritisation principles set out in section 7 to determine whether it is proportionate to proceed in consequence management. This will consider the information that the Directed PSP has submitted as part of that step, as well as any new information from the ongoing data reporting process.

As Pay.UK exercises this discretion, it will keep closely engaged with the PSR on its decision making and rationale.

Escalating consequence management beyond action step 2 is expected to be rare.

8.5 Timings of the consequence management steps

The timing to progress through each step of consequence management will vary according to the specific circumstances of the Directed PSP, the potential non-compliance, and the agreed action plans.

At a principle level, Pay.UK is not setting absolute timings to complete each step as there needs to be flexibility built from the outset given the scale of the ecosystem and the reimbursement regime being untested and unproven at the time of development of the compliance monitoring regime. The core aim of consequence management is to support the Directed PSP to improve its performance, and Pay.UK recognises that there will need to be flexibility in timings for achieving this.

8.6 Referral to the PSR and opportunities for Directed PSP representations

Directed PSPs will be able to review all the data they provide as they progress through consequence management via their compliance monitoring dashboard or via other means. Any referral to the PSR as part of, or because of, consequence management will be in written form and will always be issued to the impacted Directed PSP first for review and to give the opportunity to provide representations to Pay.UK. Timings for this will be determined as appropriate by Pay.UK on a case-by-case basis.

In practice, Pay.UK expect to brief the PSR on emerging issues before any formal referral. This will be achieved through the monthly reporting and close ongoing engagement with the PSR. Pay.UK will record the evidence provided to the PSR in line with usual practices of record keeping as a payment system operator.

Referral of a Directed PSP to the PSR can occur during any of the above steps of consequence management, or at initial triage stage at the request of the PSR. A referral doesn't necessarily mean a PSP is non-compliant, but that the data reported requires further investigation that may involve claim level data, which Pay.UK data are unable to review.

The overarching principle is that there should be no surprises for any of the parties involved in consequence management.

9 Pay.UK reporting to the PSR

In this section Pay.UK sets out the cadence for regular reporting to the PSR and reporting outside of the regular reporting cycles and why that may be required.

Pay.UK expects to provide the PSR with full access to and visibility of compliance data and PSP compliance monitoring dashboards, so PSR is also able to consider and be informed about the performance of Directed PSPs.

9.1 Compliance Monitoring regular reporting

Pay.UK will report monthly to the PSR with an aggregated overview of Directed PSPs' performance. The reporting period will be one calendar month, running from the first to the last day of the month and cover closed cases in the reporting period. Pay.UK will meet with the PSR initially to discuss the reported data and to share observations. The reporting data will then be shared with the PSR as soon as it is available after the closure of the PSP reporting deadline. This is to allow Pay.UK and the PSR to discuss PSP performance. This engagement would normally take place prior to any new PSPs being triaged for investigation or formally moving into consequence management.

Pay.UK will submit the Insights report to the PSR by no later than close of business on the last Business day of the month which follows the reporting period. This will provide Pay.UK sufficient time to assure the data and go through internal governance processes before submitting to the PSR.

Pay.UK will also report monthly progress with Directed PSPs following the Compliance Monitoring Regime processes.

9.2 Referral of issues by Pay.UK to PSR

While Pay.UK expect that referrals will not be a regular occurrence, it may be necessary where there are potential instances of potential or actual non-compliance that are not able to be addressed by Pay.UK. These issues may need to be raised by Pay.UK to the PSR at any time during a business day and will be done via an appropriate secure exchange in order to maintain security and privacy.

Meetings held between Pay.UK and PSR on matters of escalation will be appropriately recorded and information retained.

10 APP Reimbursement Industry Management Group (IMG)

To operate the compliance monitoring regime and to interact effectively with Directed PSPs, Pay.UK has established the APP Reimbursement Industry Management Group (IMG). This is a forum open to all Directed PSPs and the PSR and will form the basis to engage with PSPs on any operational matters, including aspects of compliance monitoring and consequence management, the FPS Reimbursement Rules and the operation of the RCMS.

Please contact PayUKIndustryEngagement@wearepay.uk to be added to the distribution list for the meeting.

The IMG may meet in private involving only Pay.UK and the PSR to discuss the operation of the FPS reimbursement rules including, amongst other aspects, reviewing Directed PSP monitoring and compliance.

The IMG may also be used to inform Directed PSPs about overall relative PSP performance using anonymised cohort data.

11 Publication and change management

This document was designed to bring together all the elements of the compliance monitoring regime and is available to all Directed PSPs via Pay.UK's website, alongside the FPS reimbursement rules .

Change management of the FPS reimbursement rules, including the Compliance Monitoring Regime will be managed via existing governance of Pay.UK.

12 Reporting Standard B

Reporting Standard B data metrics may not require Pay.UK to place a reliance upon Directed PSPs' administered controls and operating evidence to achieve its regulatory obligations. This is because a Directed PSP is expected to meet its requirements via participation and evidence of conduct within the RCMS and at all times it is the Directed PSP's responsibility to ensure that the data it provides within the RCMS is accurate and that its conduct is within the expectations set out in the RCMS legal framework.

The full list of Reporting Standard B metrics can be found in the PSR's Compliance Data Reporting Standards.

13 Glossary

Please note, terms may be defined in the FPS Reimbursement Rules – Schedule 4 and other related documents provided by the PSR and as cited in the references section at the beginning of this document.

Business day	For the purposes of the reimbursement requirement, means any day (period of 24 hours beginning at midnight) that is not a Saturday or Sunday, or a bank holiday in any part of the United Kingdom.
Claims management	Means all the steps required to be undertaken by a Sending or Receiving PSP to comply with the FPS reimbursement rules, Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) and Specific Requirement 1 (July 2024) (FPS APP scam reimbursement rules).
Compliance Data Reporting Standards (CDRS)	Means the document produced and published by the PSR, as may be amended from time to time, which, sets requirements for the specific information which Directed PSPs must collate, retain, and provide to Pay.UK pursuant to obligations imposed by Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) and to enable it to fulfil its requirements under Specific Direction 19 (July 2024) (APP scams Faster Payments Operator monitoring).
Direct PSP	A PSP participating in the Faster Payments Scheme to which Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) applies.
FPS reimbursement directory	Means the list of Directed PSPs and their contact details which the Faster Payments operator maintains for the purposes of managing FPS APP scam claims
FPS reimbursement information	Means any information which the Faster Payments operator has access to as a result of Section 8, Section 9 of Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) and/or the PSR's CDRS
Information	For the purposes of Specific Direction 19 (July 2024) (APP scams Faster Payments Operator monitoring) includes any information or data which may be required by either the PSR for the purposes of monitoring compliance with Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) or any other regulatory requirement, or by the Faster Payments Operator in connection with its responsibilities under Specific Direction 19.

Indirect PSP	An Indirect Directed PSP is not a contracted participant of FPS and does not agree to be bound by the FPS Participation Agreement or play any identified role in the FPS payment service rules, but to which Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) applies.
Measure	A Measure is applied against a rule where it is not possible to determine clearly if a Directed PSP has complied or not, as such it needs to be assessed relative to the PSP's own performance over time (and relative to other Directed PSPs' performance).
Monitoring	Using the data and metrics reported and collected to understand overall compliance with the FPS APP scam reimbursement requirement, and with PSR Directions; Specific Direction 19 (July 2024) (APP scams Faster Payments Operator monitoring), Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) and Specific Requirement 1 (July 2024) (FPS APP scam reimbursement rules).
Month	A calendar month.
Onboarded	Means the process by which a PSP in conjunction with the Faster Payments Operator creates one or more user accounts on the RCMS, undertakes any relevant testing and becomes capable of using the RCMS for communication, claim management or data reporting.
PSP compliance	Directed PSP meeting of the obligations and requirements of the FPS APP scams reimbursement requirement. <i>Explanatory note: includes any obligation placed upon Directed PSPs both as a result of the FPS reimbursement rules, Specific Direction 19 (July 2024) (APP scams Faster Payments Operator monitoring), Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) and Specific Requirement 1 (July 2024) (FPS APP scam reimbursement rules).</i>
Potential non-compliance	Where data-led insights indicate that a Directed PSP may not be complying with the FPS reimbursement requirement, FPS reimbursement rules or Specific Direction 20. <i>Explanatory note: includes any obligation placed upon Directed PSPs both as a result of the FPS reimbursement rules, Specific Direction 19 (July 2024) (APP scams Faster Payments Operator monitoring), Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) and Specific Requirement 1 (July 2024) (FPS APP scam reimbursement rules).</i>

Register	Means providing the information specified by Pay.UK in the Faster Payments rules as required by paragraphs 8.1 and 8.2 of Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) which may be used to support the creation and maintenance of the FPS reimbursement directory.
Reimbursement Claims Management System (RCMS)	Means the claim management, communication and data reporting IT system which will be provided by the Faster Payments Scheme Operator for all Directed PSPs to use to communicate, manage FPS APP scam claims and report data for FPS APP scam claims.
RCMS Core	The RCMS Core product allows Directed PSPs to access the FPS reimbursement directory to meet their Specific Direction 20 (July 2024) (FPS APP scam reimbursement requirement) legal obligations by providing the contact information between the Sending and Receiving PSPs, and a reporting functionality enabling PSPs to report FPS APP scam claims data to Pay.UK.
RCMS Core + Claims	The RCMS Core + Claims is the single system operated by Pay.UK which will provide Directed PSPs with an effective way to manage FPS APP scam claims securely and accurately, in addition to the features provided in the RCMS Core product.
Reporting Due Date	The timeframe in which Directed PSPs are required to report to Pay.UK on each calendar month, with reports due by no later than 17:00hrs.